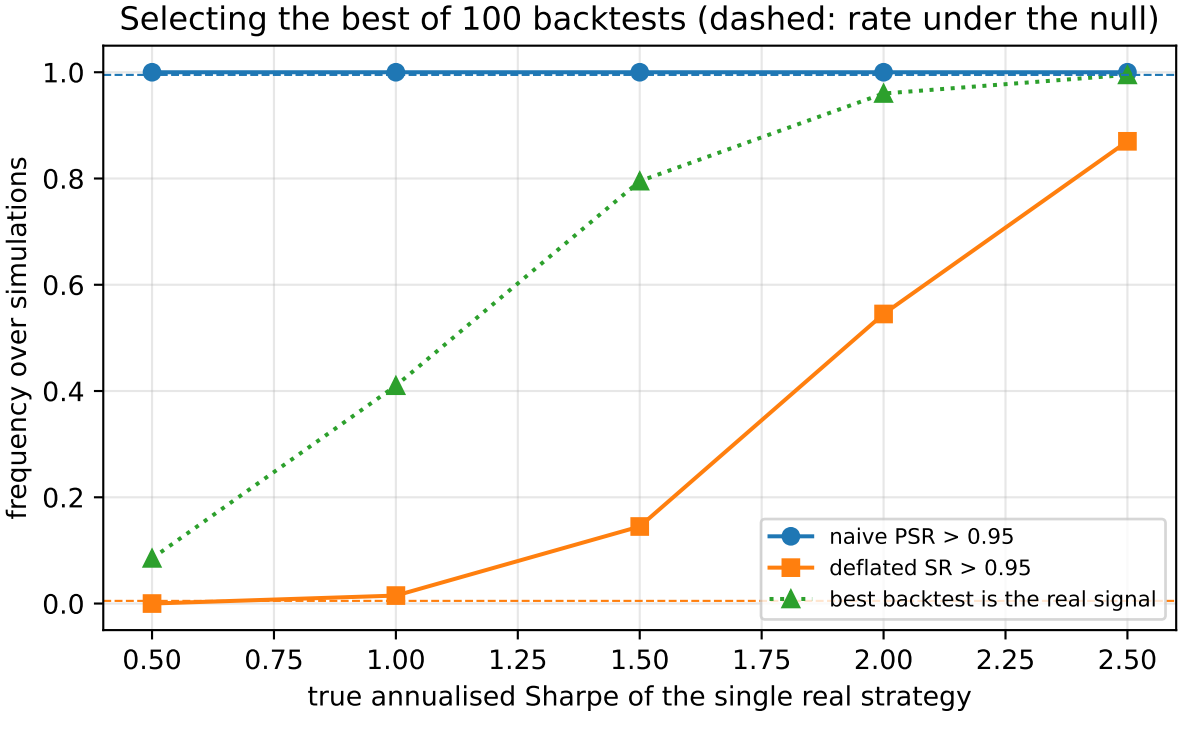
Selecting the best of 100 backtests (dashed: rate under the null)
frequency over simulations
1.0
0.8
0.6
0.4
0.2
0.0
0.50
0.75
1.00
1.25
1.50
1.75
2.00
2.25
2.50
true annualised Sharpe of the single real strategy
naive PSR > 0.95
deflated SR > 0.95
best backtest is the real signal